

2014 SCC OnLine All 13588

(BEFORE RAM SURAT RAM (MAURYA), J.)

Suresh Chand Bansal Petitioner

v.

Electricity Ombudsman, Vibhuti Khand Gomti Nagar
& Others Respondents

Counsel for Petitioner:- Sunil Sharma

Counsel for Respondent:-Aprajita Bansal

Misc. Single No. 4512 of 2014

Decided on August 22, 2014

Infrastructure Laws — Energy and Power — Electricity — Loss occurred due to accident in transmission lines — Complaint filed before Electricity Consumer Grievance Redressal Forum under clause 2.1(e) for compensation — Jurisdiction of Electricity Consumer Grievance Redressal Forum — High tension electricity transmission lines of 11,000 volts, passing over the house of the petitioner, fell in the night and being rainy season, current of 11,000 volts ran away through the regular electricity connection in the house of the petitioner, due to which electrical appliances in the house of the petitioner were destroyed and fire took place, causing loss to property of the petitioner — Transmission lines are not the lines being essential part of the distribution system of a licensee — Thus, for the purposes of transmission lines, the petitioner shall not be treated as “consumer” — None of the clauses of S. 42 or S. 181 of the Electricity Act, deals with loss to public property due to accident in transmission lines — Cl. 5 of the U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007, specify the jurisdiction of Consumer Grievance Redressal Forum — Complaint have been specified under clause 2.1(e), which does not mention about the loss to public property due to accident in transmission lines — Electricity Ombudsman has not committed any illegality in holding that Consumer Grievance Redressal Forum has no jurisdiction in respect of complaint of the petitioner which was for compensation of loss occurred due to accident in transmission lines — Electricity Act, 2003 — Ss. 2(15), 2(72), 42(4), 161 and 181 — U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007 — Cl. 2 and 5

(Paras 8 and 10)

Hon'ble Ram Surat Ram (Maurya), J.

1. Heard Sri. Sunil Sharma, for the petitioner and Aprajita Bansal, for the respondents.

2. The writ petition has been filed for quashing the order of Electricity Ombudsman (respondent-1) dated 05.06.2014, allowing the appeal filed by respondent-2 and setting aside order of Electricity Consumer Grievance Redressal Forum dated 05.09.2013.

3. The petitioner is owner of a house situated at Muraripuram, Meerut City. Electricity Urban Distribution Division III, 66 Garh Road, Meerut erected high tension electricity transmission lines of 11,000/- volts, passing over the house of the petitioner. Wires of transmission lines passing over the house of the petitioner, fell in the night of 23.08.2012. Being rainy season, current of 11,000 volts ran away through the regular electricity connection in the house of the petitioner, due to which electrical appliances in the house of the petitioner were destroyed and fire took place, causing loss to property of the petitioner.

4. The petitioner filed a complaint (registered as Complaint Case No. 3 of 2013) for compensation before Electricity Consumer Grievance Redressal Forum, Meerut. The Forum, after hearing the parties, by order dated 05.09.2013 awarded compensation of Rs. 89,572/- to the petitioner. Respondent-2 filed an appeal/representation (registered as Representation No. 115 of 2013) against the aforesaid order before Electricity Ombudsman, which has been allowed by order dated 05.06.2014 on the ground that complaint before Electricity Consumer Grievance Redressal Forum, for award of compensation due to accident was not maintainable and award was set aside. Hence this writ petition has been filed.

5. The counsel for the petitioner submitted that a transformer has been affixed in the high tension electricity transmission lines of 11,000/- volts, from where supply of electricity is being made in the house of the petitioner. The petitioner is consumer within the meaning as given under Electricity Act, 2003 as well as in U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007. Section 42(4) casts a statutory obligation to create Consumer Grievance Redressal Forum, which has been authorized to decide the complaints of the consumers in respect of defect in electric supply and loss suffered due to it. The petitioner suffered loss due to defect in high tension electricity transmission lines as such complaint made by the petitioner was maintainable before Consumer Grievance Redressal Forum. Electricity Ombudsman has illegally held that Consumer Grievance Redressal Forum has no jurisdiction to entertain complaints in respect of accidents, which are covered under Section 161 of Electricity Act, 2003. Section 161 of Electricity Act, 2003 requires to give notice of the every accident occurs in connection with generation, transmission, distribution, supply or use of electricity. On the notice being given, Electrical Inspector is required to make an inquiry in respect of loss resulted to human or animal life

and submit report to the Government. This Section has nothing to do with loss of property of general public as such jurisdiction of Consumer Grievance Redressal Forum is not affected in respect of complaint of loss of the property. He relied upon the judgment of this Court in Writ-C No. 18760 of 2012 *Dakshinanchal Vidyut Vitran Ltd. v. Presiding Officer* decided on 17.04.2012, in which it has been held that purpose of Section 161 is to check the accident and to make inquiry in respect of loss resulted to human or animal life and not in respect of property of an individual.

6. I have considered the arguments of the counsel for the parties and examined the record. Electricity Act, 2003 was enacted to consolidate the laws relating to generation, transmission, distribution, trading and use of electricity and generally for taking measures conducive to development of electricity industry, promoting competition therein, protecting interest of consumers and supply of electricity to all areas, rationalization of electricity tariff, ensuring transparent policies regarding subsidies, promotion of efficient and environmentally benign policies, constitution of Central Electricity Authority, Regulatory Commissions and establishment of Appellate Tribunal and for matters connected therewith or incidental thereto.

7. The word 'consumer' has been defined under Section 2(15) of Electricity Act, 2003. Same definition has been adopted under U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007. The words 'transmission lines' has been defined by Section 2(72) of Electricity Act, 2003, which are quoted below:-

Section 2 (15) "consumer" means any person who is supplied with electricity for his own use by a licensee or the Government or by any other person engaged in the business of supplying electricity to the public under this Act or any other law for the time being in force and includes any person whose premises are for the time being connected for the purpose of receiving electricity with the works of a licensee, the Government or such other person, as the case may be;

Section 2(72) "transmission lines" means all high pressure cables and overhead lines (not being an essential part of the distribution system of a licensee) transmitting electricity from a generating station to another generating station or a sub-station, together with any step-up and step-down transformers, switch-gear and other works necessary to and used for the control of such cables or overhead lines, and such buildings or part thereof as may be required to accommodate such transformers, switch-gear and other works;

8. From the aforesaid definitions it is clear that transmission lines are not the lines being essential part of the distribution system of a licensee. Thus for the purposes of transmission lines, the petitioner

shall not be treated as consumer. The contention of the counsel for the petitioner that as transformer has been attached to high tension electricity transmission lines of 11,000/- volts, from where supply of electricity is being made in the house of the petitioner as such he is consumer is not liable to be accepted in view of definition of transmission lines.

9. So far as Section 42 of Electricity Act, 2003 is concerned, it casts a statutory duty upon distribution licensee to develop and maintain an efficient, coordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions contained in this Act. In respect of any defect or deficiency in electricity supply or service by a licensee, billing including charging for electricity supply, price in respect of tariff or offering electricity services to the public which will be hazardous to life and safety, Consumer Grievance Redressal Forums have been constituted under U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007, exercising powers under Section 42 read with Section 181 of Electricity Act, 2003, (as amended by Act No. 26 of 2007) which are quoted:-

42. Duties of distribution licensee and open access.—(1) It shall be the duty of a distribution licensee to develop and maintain an efficient, co-ordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions contained in this Act.

(2) The State Commission shall introduce open access in such phases and subject to such conditions, (including the cross subsidies, and other operational constraints) as may be specified within one year of the appointed date by it and in specifying the extent of open access in successive phases and in determining the charges for wheeling, it shall have due regard to all relevant factors including such cross-subsidies, and other operational constraints:

Provided that such open access shall be allowed on payment of a surcharge in addition to the charges for wheeling as may be determined by the State Commission:

Provided further that such surcharge shall be utilised to meet the requirements of current level of cross-subsidy within the area of supply of the distribution licensee:

Provided also that such surcharge and cross-subsidies shall be progressively reduced in the manner as may be specified by the State Commission:

Provided also that such surcharge shall not be leviable in case open access is provided to a person who has established a captive generating plant for carrying the electricity to the destination of his own use:

Provided also that the State Government shall, not later than five years from the date of commencement of the Electricity (Amendment) Act, 2003, by regulations, provide such open access to all consumers who require a supply of electricity where the maximum power to be made available at any time exceeds one megawatt.

(3) Where any person, whose premises are situated within the area of supply of a distribution licensee, (not being a local authority engaged in the business of distribution of electricity before the appointed date) requires a supply of electricity from a generating company or any licensee other than such distribution licensee, such person may, by notice, require the distribution licensee for wheeling such electricity in accordance with regulations made by the State Commission and the duties of the distribution licensee with respect to such supply shall be of a common carrier providing non-discriminatory open access.

(4) Where the State Commission permits a consumer or class of consumers to receive supply of electricity from a person other than the distribution licensee of his area of supply, such consumer shall be liable to pay an additional surcharge on the charges of wheeling, as may be specified by the State Commission, to meet the fixed cost of such distribution licensee arising out of his obligation to supply.

(5) Every distribution licensee shall, within six months from the appointed date or date of grant of licence, whichever is earlier, establish a forum for redressal of grievances of the consumers in accordance with the guidelines as may be specified by the State Commission.

(6) Any consumer, who is aggrieved by non-redressal of his grievances under sub-section 5, may make a representation for the redressal of his grievance to an authority to be known as Ombudsman to be appointed or designated by the State Commission.

(7) The Ombudsman shall settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission.

(8) The provisions of sub-sections (5), (6) and (7) shall be without prejudice to right which the consumer may have apart from the rights conferred upon him by those sub-sections.

181. Powers of State Commissions to make regulations.—(1) The State Commissions may, by notification, make regulations consistent with this Act and the rules generally to carry out the provisions of this Act.

(2) In particular and without prejudice to the generality of the power contained in sub-section (1), such regulations may provide for all or any of the following matters, namely:—

(a) period to be specified under the first proviso to Section 14;

- (b) the form and the manner of application under sub-section (1) of Section 15;
- (c) the manner and particulars of application for licence to be published under sub-section (2) of Section 15;
- (d) the conditions of licence under Section 16;
- (e) the manner and particulars of notice under clause (a) of sub-section (2) of Section 18;
- (f) publication of the alterations or amendments to be made in the licence under clause (c) of sub-section (2) of Section 18;
- (g) levy and collection of fees and charges from generating companies or licensees under sub-section (3) of Section 32;
- (h) rates, charges and the terms and conditions in respect of intervening transmission facilities under proviso to Section 36;
- (i) payment of the transmission charges and a surcharge under sub-clause (ii) of clause (d) of sub-section (2) of Section 39;
- (j) reduction of surcharge and cross-subsidies under second proviso to sub-clause (ii) of clause (d) of sub-section (2) of Section 39;
- (k) manner and utilisation of payment and surcharge under the fourth proviso to sub-clause (ii) of clause (d) of sub-section (2) of Section 39;
- (l) payment of the transmission charges and a surcharge under sub-clause (ii) of clause (c) of Section 40;
- (m) reduction of surcharge and cross-subsidies under second proviso to sub-clause (ii) of clause (c) of Section 40;
- (n) the manner of payment of surcharge under the fourth proviso to sub-clause (ii) of clause (c) of Section 40;
- (o) proportion of revenues from other business to be utilised for reducing the transmission and wheeling charges under proviso to Section 41;
- (p) reduction of surcharge and cross-subsidies under the third proviso to sub-section (2) of Section 42;
- (q) payment of additional charges on charges of wheeling under sub-section (4) of Section 42;
- (r) guidelines under sub-section (5) of Section 42;
- (s) the time and manner for settlement of grievances under sub-section (7) of Section 42;
- (t) the period to be specified by the State Commission for the purposes specified under sub-section (1) of Section 43;
- (u) methods and principles by which charges for electricity shall be fixed under sub-section (2) of Section 45;
- (v.) reasonable security payable to the distribution licensee under sub-section (1) of Section 47;

(w) payment of interest on security under sub-section (4) of Section 47;

(x) electricity supply code under Section 50;

(y) the proportion of revenues from other business to be utilised for reducing wheeling charges under proviso to Section 51;

(z) duties of electricity trader under sub-section (2) of Section 52;

(za) standards of performance of a licensee or a class of licensees under subsection (1) of Section 57;

(zb) the period within which information to be furnished by the licensee under sub-section (1) of Section 59;

(zc) the manner of reduction of cross-subsidies under clause (g) of Section 61;]

(zd) the terms and conditions for determination of tariff under Section 61; (ze) details to be furnished by licensee or generating company under subsection (2) of Section 62;

(zf) the methodologies and procedures for calculating the expected revenue from tariff and charges under sub-section (5) of Section 62;

(zg) the manner of making an application before the State Commission and the fee payable therefor under sub-section (1) of Section 64;

(zh) issue of tariff order with modifications or conditions under sub-section (3) of Section 64;

(zi) the manner by which development of market in power including trading specified under Section 66;

(zj) the powers and duties of the Secretary of the State Commission under sub-section (1) of Section 91;

(zk) the terms and conditions of service of the Secretary, officers and other employees of the State Commission under sub-section (2) of Section 91; (zl) rules of procedure for transaction of business under sub-section (1) of Section 92;

(zm) minimum information to be maintained by a licensee or the generating company and the manner of such information to be maintained under sub-section (8) of Section 128;

(zn) the manner of service and publication of notice under Section 130;

(zo) the form of and preferring the appeal and the manner in which such form shall be verified and the fee for preferring the appeal under sub-section (1) of Section 127;

(zp) any other manner which is to be, or may be, specified.

(3) All regulations made by the State Commission under this Act shall be subject to the condition of previous publication.

10. None of the clauses of Section 42 or Section 181 deals with loss

to public property due to accident in transmission lines. Clause 5 of U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulation 2007, specify the jurisdiction of Consumer Grievance Redressal Forum. Complaint have been specified under clause 2.1(e) which does not mentioned about the loss to public property due to accident in transmission lines. Electricity Ombudsman has not committed any illegality in holding that Consumer Grievance Redressal Forum has no jurisdiction in respect of complaint of the petitioner which was for compensation of loss occurred due to accident in transmission lines.

11. The case law relied upon by the counsel for the petitioner has no application in the matter as it deals with jurisdiction of Permanent Lok Adalat constituted under Legal Service Authorities Act, 1987.

12. In view of the aforesaid discussions, the writ petition has no merit and is dismissed.

Disclaimer: While every effort is made to avoid any mistake or omission, this casenote/ headnote/ judgment/ act/ rule/ regulation/ circular/ notification is being circulated on the condition and understanding that the publisher would not be liable in any manner by reason of any mistake or omission or for any action taken or omitted to be taken or advice rendered or accepted on the basis of this casenote/ headnote/ judgment/ act/ rule/ regulation/ circular/ notification. All disputes will be subject exclusively to jurisdiction of courts, tribunals and forums at Lucknow only. The authenticity of this text must be verified from the original source.